

Retail Research	IPO Note
Sector: Jewellers	Price Band (Rs): 456 - 480
09 th September 2024	Recommendation: Subscribe for Long-Term Investment Horizon

P N Gadgil Jewellers Ltd.

Company Overview:

P N Gadgil Jewellers Ltd (PNGJL) is the second largest player in the organized jewellery market in Maharashtra as on Jan'24. The company's products comprise of a wide range of precious metals/jewellery including gold, silver, platinum and diamond jewellery across various price points and designs. PNGJL's products are sold under the 'PNG' brand which derives its legacy from the 'P N Gadgil' brand which has a rich legacy dating back to 1832. It enjoys strong brand recall and presence in Maharashtra, which is the largest market for Bureau of Indian Standard (BIS) registered outlets in India. As of 31st July, 2024 the company operates 39 stores across 21 cities in Maharashtra & Goa and 1 store in California, USA. Out of the total 39 stores, 28 stores are company owned & company operated (COCO), while 11 stores are franchisee owned & company operated (FOCO).

Key Highlights:

1. Established legacy in Maharashtra: The company has leveraged the heritage of 'P N Gadgil' brand to create a contemporary brand which offers a wide spectrum of designs and products for various occasions and purposes. PNGJL strives to offer quality products to its customers through various quality control checks. PNGJL's commitment to quality and transparency has enabled it to maintain trust of customers, customer loyalty and patronage across generations.

2. Second largest organized retail jewellery player in Maharashtra: PNGJL is the second largest organized jewellery player in Maharashtra and the fastest growing jewellery brand amongst key organized players in India in terms of revenue. The company also has the highest revenue per sq. ft. in FY24 among key organized players in India. Out of the total 39 stores, 28 are self-owned while 11 are franchisee owned & company operated. The company believes this model allows them to exercise control over the quality of products and experience for customers. The company believes it is strategically positioned to capitalize on the significant growth potential of the Indian jewellery market and further believes its strong brand recall, scalable business model, effective operational processes, positions it well to capitalize on the market opportunity.

3. Diversified product portfolio: The company's product portfolio comprises of over 10,000 SKUs in gold, 1,200+ SKUs in silver, 2,700+ SKUs in platinum and 24,000+ SKUs in diamond jewellery designs across different price points as of FY24. The company's sub-brands *Saptam*, *Swarajya*, *Rings of Love*, *The Golden Katha of Craftsmanship*, *Flip*, *Lifestyle*, *Eiina*, *PNG Solitaire*, *Men of Platinum*, *Evergreen love*, *Pratha and Yoddha* are designed to cater to specific customer niches across a spectrum of traditional wedding and everyday wear jewellery and contemporary platinum and diamond jewellery. The diverse range of products across different designs, categories and availability across different price points enables the company to serve as a "one-stop-shop" with consumers across all income levels and age groups.

Valuation: The company is valued at FY24 P/E multiple of 42.2x based on the upper price band on the post-issue capital. The company is amongst the fastest growing organised jewellers in Maharashtra and operates under the legacy of the 'P N Gadgil' brand. Between FY22-FY24, the company's Revenue/EBITDA/PAT grew at a CAGR of 54.6%/55.5%/49.0% respectively. PNGJL is expected to save Rs ~31 cr from finance cost post repayment of debt from the proceeds of the issue and is planning to utilize Rs 393 cr to open 12 new stores in FY25 and FY26. It is also set to capitalize on the jewellery market growth trend. We recommend subscribing to the issue for a long-term investment horizon.

Issue Details	
Date of Opening	10 th September 2024
Date of Closing	12 th September 2024
Price Band (Rs)	456 - 480
Offer for sale (Rs cr)	250
Fresh Issue (Rs cr)	850
Issue Size (Rs cr)	1,100
No. of shares	2,41,22,807 – 2,29,16,667
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	6,231 - 6,514
BRLMs	Motilal Oswal Investment Advisors, Nuvama Wealth Management, BOB Capital Markets
Registrar	Bigshare Services Pvt Ltd
Bid Lot	31 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding expenditure towards setting-up of 12 New Stores in Maharashtra, India	392.7
Repayment or pre-payment in full or part of borrowings	300.0
General Corporate Purposes [^]	
Total proceeds from fresh issue	850.0

[^] To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the gross proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	11,80,00,000	100.0
Public & Others	-	-
Total	11,80,00,000	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	11,25,17,544	82.3
Public & Others	2,41,22,807	17.7
Total	13,66,40,351	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	11,27,91,667	83.1
Public & Others	2,29,16,667	16.9
Total	13,57,08,333	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24
Revenue from operation	2,555.6	4,507.5	6,110.9
EBITDA	111.3	122.7	269.3
PAT	69.5	93.7	154.3
EBITDA Margin (%)	4.4	2.7	4.4
PAT Margin (%)	2.7	2.1	2.5
ROE (%)	22.5	25.1	28.9
ROCE (%)	19.9	23.3	27.3
P/E (x)	81.5	60.4	36.7

Source: RHP, SSL Research

Risk Factors

- **Reputational risk:** The company believes legacy of the 'P N Gadgil' and 'PNG' brands are amongst the most important assets and one of the key contributors to the growth and success of the business. The business and results of operations are primarily influenced by the strength of the flagship 'PNG' brand, including the level of consumer recognition and perception of the brand. Any loss of trust in products by consumers due to unsatisfactory quality control and assurance standards could adversely affect brand reputation and subject the company to additional risks and customer scrutiny, which could adversely affect goodwill and could also have an adverse effect on business, results of operations and financial condition
- **Concentration risk:** The company's stores are primarily concentrated in Maharashtra, during FY22/FY23/FY24 the company derived 92.2%/93.8%/95.2% of its revenue respectively, from these stores. In Maharashtra the stores are further concentrated in the city of Pune with these stores contributing to 60.5%/66.3%/67.9% of its FY22/FY23/FY24 revenue respectively. Any adverse development affecting Maharashtra and Pune may have an adverse effect on business, prospects, financial condition and results of operations.
- **Labor risk:** The company is heavily dependent on highly skilled third-party artisans and job workers (karigars) for production and manufacturing of products. The karigars work on a job work basis and may shift to competitors in case they receive better terms. Further, while the company agreements have restrictions on the supply of its designs and disclosure about the transactions, jewellery designs may still be shared openly in the market. Any disruptions at third-party production facilities or shortage or scarcity of Karigars in the jewellery industry especially in Maharashtra may have a negative effect, which could adversely affect the reputation, business and financial condition and results of operations of the company.
- **Gold price volatility risk:** The company derived 90.2%/90.8%/92.2% of its revenue from gold products in FY22/FY23/FY24 respectively. Any significant volatility in prices of gold may affect the company's business, financial conditions and result of operations.
- **Industry competition risk:** The company operates in a highly competitive market which requires the company to continuously develop new products and brands. To compete in the industry the company needs to incur advertising expenses to stay current amongst consumers. Any inability to effectively market products or any deterioration in public perception of the brand could affect consumer footfall and consequently adversely impact the business, financial condition, cash flows and results of operations

Growth Strategy

- Expand retail network in western Maharashtra by leveraging legacy of the 'P N Gadgil' brand.
- Continue to invest in marketing and brand building initiatives.
- Focus on increasing footfall and increasing the average transaction value in existing stores.
- Increase digital presence to expand customer base.

Revenue Mix – Product wise

Particulars	FY22		FY23		FY24	
	Rs cr	% of revenue	Rs cr	% of revenue	Rs cr	% of revenue
Gold	2,303.7	90.2	4,093.3	90.8	5,632.6	92.2
Silver	122.2	4.8	163.4	3.6	209.7	3.4
Diamond	104.5	4.1	196.3	4.4	225.2	3.7
Platinum & other products	23.9	0.9	52.8	1.2	41.4	0.7
Total	2,554.3	100.0	4,505.8	100.0	6,108.9	100.0

Source: RHP, SSL Research

Revenue Mix – Channel wise

Particulars	FY22		FY23		FY24	
	Rs cr	% of revenue	Rs cr	% of revenue	Rs cr	% of revenue
Physical Stores	2,543.1	99.6	4,499.6	99.9	5,997.2	98.2
Online marketplaces	11.3	0.4	6.2	0.1	111.6	1.8
Total	2,554.3	100.0	4,505.8	100.0	6,108.9	100.0

Source: RHP, SSL Research

Revenue Mix – Operating model wise

Particulars	FY22		FY23		FY24	
	Rs cr	% of revenue	Rs cr	% of revenue	Rs cr	% of revenue
COCO	2,335.4	91.4	4,112.9	91.3	5,653.5	92.5
FOCO	218.9	8.6	392.9	8.7	455.4	7.5
Total	2,554.3	100.0	4,505.8	100.0	6,108.9	100.0

Source: RHP, SSL Research

Number of Stores

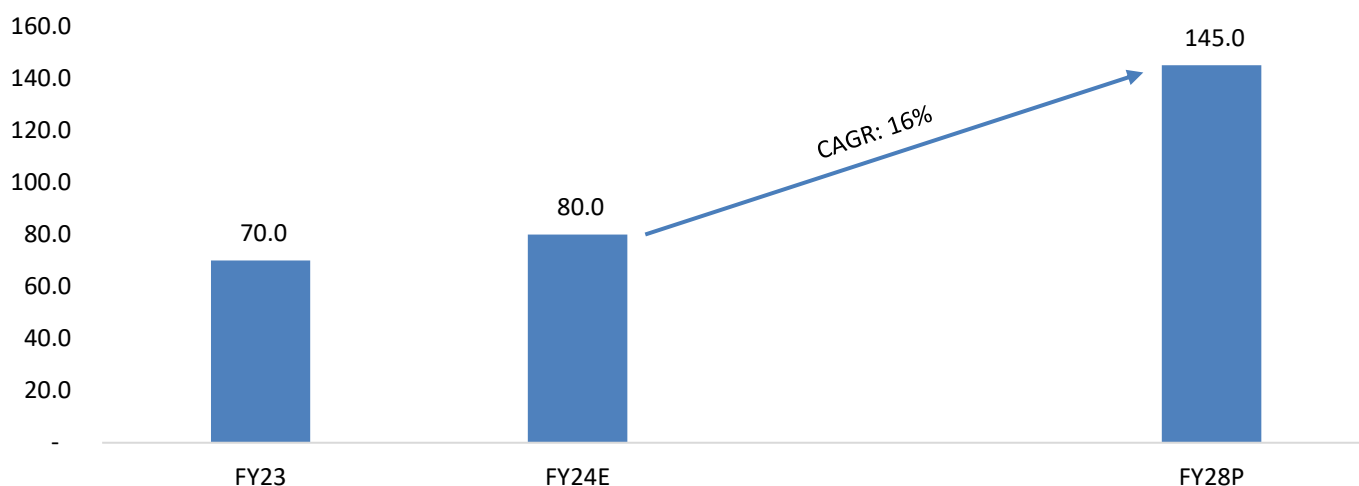
Particulars	FY22	FY23	FY24
No. of stores opened	0	3	6
No. of stores closed	0	1	4
Total no. of stores	32	34	36

Source: RHP, SSL Research

Industry Overview

The **Indian Domestic Jewellery Market** is expected to be valued at Rs 80.0 tn in FY24, growing at a CAGR of 8.9% between FY18-FY23. The majority of the domestic jewellery market continues to be dominated by unorganized players with a market share of ~63% in FY24 comprising of over 5,00,000 local goldsmiths and jewellers, while the remaining ~37% of the market encompasses national and regional organized players. The domestic market is poised for robust growth and is projected to grow at a CAGR of 16% between FY23-FY28 to reach Rs 145.0 tn by FY28, driven by an expanding economy, increased disposable income, surge in consumer demand for gold, upward trajectory of gold prices, and a rising interest in other categories of jewellery such as diamonds, other precious stones and costume jewellery. Gold has been the choice of precious metals for Indian as it is seen as an investable asset by the masses. In FY23, gold accounted for ~78.6% of the total domestic jewellery market.

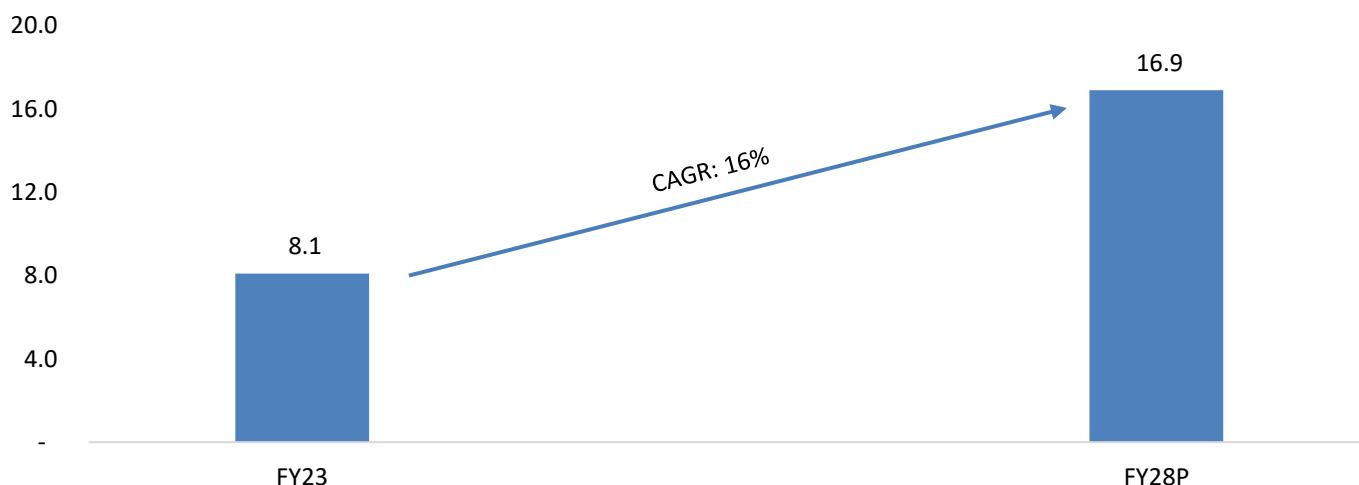
Indian Domestic Jewellery Market (Rs tn)



Source: RHP, SSL Research

The **Jewellery Market in Maharashtra** hosts a significant number of jewellery stores, contributing to a vibrant and diverse market for both traditional and contemporary jewellery within the state. The Maharashtra jewellery market was valued at USD 8.1 bn in FY23. The region's jewellery industry benefits from a robust infrastructure and specialized expertise, contributing significantly to the region's dominance and is projected to grow at a CAGR of 16% between FY23-FY28 to reach USD 16.9 bn by FY28.

Jewellery Market in Maharashtra (USD bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	2,556	4,508	6,111
YoY growth (%)	-	76.4	35.6
Cost Of Revenues (incl Stock Adj)	2,306	4,145	5,598
Gross Profit	250	362	513
Gross margins (%)	9.8	8.0	8.4
Employee Cost	62	75	88
Other Operating Expenses	77	164	155
EBITDA	111	123	269
EBITDA margins (%)	4.4	2.7	4.4
Other Income	31	52	8
Interest Exp.	35	35	46
Depreciation	22	22	23
PBT	85	118	208
Exceptional item/Extraordinary item	-	-	-
Tax	16	24	54
Reported PAT	58	74	154
Reported PAT margin (%)	2.3%	1.6%	2.5%
Reported EPS	4.9	6.3	13.1

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	143	142	150
Capital WIP	4	4	4
Intangible Assets	8	1	1
Intangible Assets under development	-	-	-
Right of use assets	42	40	58
Other Non-current Assets	49	37	45
Current Assets			
Current Investment	-	-	-
Inventories	704	597	959
Trade receivables	29	39	38
Cash and Bank Balances	45	49	80
Short-term loans and advances	1	-	-
Other Current Assets	87	153	131
Total Current Assets	866	839	1,207
Current Liabilities & Provisions			
Trade payables	170	132	149
Other current liabilities	310	226	312
Short-term provisions	2	3	3
Total Current Liabilities	482	360	463
Net Current Assets	384	478	744
Assets Classified as held for sale	-	-	-
Total Assets	628	702	1,002
Liabilities			
Share Capital	118	118	118
Reserves and Surplus	191	256	416
Total Shareholders' Funds	309	374	534
Minority Interest	(27)	(8)	-
Total Debt	295	283	396
Long Term Provisions	2	2	-
Lease Liabilities	41	41	59
Other Long-Term Liabilities	3	4	4
Net Deferred Tax Liability	6	6	7
Total Liabilities	628	702	1,002

Cash flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	73	105	6
Cash flow from Investing Activities	(22)	(45)	(49)
Cash flow from Financing Activities	(46)	(55)	51
Free Cash Flow	68	57	(24)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	6.3	8.8	10.5
Return on Capital Employed (%)	19.9	23.3	27.3
Return on Equity (%)	22.5	25.1	28.9
Margin Analysis			
Gross Margin (%)	9.8	8.0	8.4
EBITDA Margin (%)	4.4	2.7	4.4
Net Profit Margin (%)	2.7	2.1	2.5
Short-Term Liquidity			
Current Ratio (x)	1.2	1.5	1.5
Quick Ratio (x)	0.2	0.4	0.3
Avg. Days Sales Outstanding	4	3	2
Avg. Days Inventory Outstanding	100	48	57
Avg. Days Payables	24	11	9
Fixed asset turnover (x)	17.9	31.9	40.7
Debt-service coverage (x)	0.4	0.5	0.6
Long-Term Solvency			
Total Debt / Equity (x)	1.0	0.8	0.7
Interest Coverage Ratio (x)	3.4	4.4	5.5
Valuation Ratios			
EV/EBITDA (x)	53.1	48.1	22.2
P/E (x)	81.5	60.4	36.7
P/B (x)	18.3	15.2	10.6
EV/Sales (x)	2.3	1.3	1.0

Source: RHP, SSL Research

Peer Comparison

Particulars (Rs cr)	PN Gadgil Jewellers Ltd	Kalyan Jewellers Ltd	Senco Gold Ltd	Thangamayil Jewellery Ltd
CMP	480.0	648.0	1,190.0	2,112.0
Sales	6,110.9	18,548.0	5,230.0	3,827.0
EBITDA	269.3	1,368.0	394.0	212.0
Net Profit	154.3	596.0	189.0	123.0
Mkt Cap.	6,514.0	66,844.0	9,251.0	5,795.0
Enterprise Value	5,980.9	70,356.0	10,460.0	6,245.0
EBITDA Margin (%)	4.4	7.4	7.5	5.5
Net Margin (%)	2.5	3.2	3.6	3.2
P/E (x)	42.2	111.7	49.0	47.0
EV/EBITDA (x)	22.2	51.4	26.5	29.5
RoE (%)	28.9	15.2	16.3	28.0
RoCE (%)	27.3	14.0	13.8	20.3
EV/Sales (x)	1.0	3.8	2.0	1.6

The data is based on FY24 financial data.

For P N Gadgil Jewellers Limited the Market cap, EV/EBITDA (x), P/E (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 06th September, 2024.

Source: RHP, SSL Research

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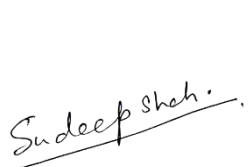
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